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Suraj Lamp And Industries Private Limited (2) Through Director v. State Of Haryana And Another

Supreme Court Of India (Oct 11, 2011)

CASE NO.

SLP (C) No. 13917 of 2009, decided on October 11, 2011

DISPOSITION

REMANDED

JUDGES

- Justice H.L. Gokhale
- Justice A.K. Patnaik
- Justice R.V. Raveendran

ATTORNEY

- Gopal Subramaniam, Senior Advocate (Jayant Kr. Mehta, Sukant Vikram and Rishi Raj Saxena, Advocates) for the Petitioner.
- Shail Kr. Dwivedi, Additional Advocate General (Ajay Pal, Ms Anil Katiyar, S.N Pandey, Gunnam Venkateswara Rao, Ashutosh Sharma, Aviral Shukla, Abhinav Srivastava, Lakshmi Raman Singh, Kuldip Singh, Satish Hooda, Kamal Mohan Gupta and Vineet Bhagat, Advocates) for the Respondents.

SUMMARY**Factual and Procedural Background**

The Supreme Court had earlier issued an order on 15-5-2009 in *Suraj Lamp & Industries (P) Ltd. (1) v. State of Haryana* (2009) 7 SCC 363 identifying the “ill- effects” of conveyancing devices popularly known as “GPA sales” or “SA/ GPA/ Will transfers.” Pursuant to that order, the Court sought suggestions from the Union of India and issued notice to the Governments of Delhi, Haryana, Punjab and Uttar Pradesh. Affidavits from these States and submissions from the learned Solicitor General (later acting as amicus curiae) were placed on record. The present opinion addresses the legality of such

transactions on the basis of those materials and sets the stage for final disposal of the underlying special-leave petition.

Legal Issues Presented

1. Whether a transaction effected through a Sale Agreement, General Power of Attorney and Will (“SA/GPA/Will”) conveys any right, title or interest in immovable *property* under Indian law.
2. Whether SA/GPA/Will transactions can be treated as valid substitutes for a registered deed of conveyance for purposes such as mutation in revenue or municipal records.
3. Whether earlier judicial observations recognising “power-of-attorney sales” as a mode of transfer are good law.

Arguments of the Parties

Union of India and Participating States

- All four States (Delhi, Haryana, Punjab, Uttar Pradesh) agreed that SA/ GPA/ Will transfers should be discouraged because they cause loss of stamp-duty revenue and proliferate litigation arising from defective title.
- They pointed to remedial steps already taken, such as (i) the Registration and Other Related Laws (Amendment) Act, 2001 making contracts covered by §53-A of the TP Act compulsorily registerable, and (ii) amendments to stamp laws equating the duty on possession- coupled agreements or irrevocable powers of attorney with that on conveyances.
- The State of Haryana further reduced stamp duty on conveyances from 12.5 % to 5 % to incentivise execution of proper sale deeds.

Submissions Highlighting Potential Hardship

- It was contended that a declaration invalidating GPA sales might cause hardship to numerous persons who had already entered into such transactions; therefore, the Court was urged either to apply its decision prospectively or allow time for regularisation through registered conveyances.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
Suraj Lamp & Industries (P) Ltd. (1) v. State of Haryana, (2009) 7	Earlier order noting the ill-effects of SA/GPA/Will transactions.	Forms the procedural foundation; current judgment builds upon and finalises the observations made therein.

SCC 363		
Narandas Karsondas v. S.A. Kamtam, (1977) 3 SCC 247	A contract of sale does not create any interest in, or charge on, immovable <i>property</i> ; ownership passes only on execution of a registered conveyance.	Cited to emphasise that an agreement to sell, even with possession, is not a conveyance under §54 TP Act.
Ram Baran Prasad v. Ram Mohit Hazra, AIR 1967 SC 744	Same principle as <i>Narandas Karsondas</i> ; quoted therein.	Reinforces the requirement of a registered sale deed to transfer ownership.
Rambhau Namdeo Gajre v. Narayan Bapuji Dhotra, (2004) 8 SCC 614	Protection under §53-A TP Act is only a shield against the transferor; ownership remains with the vendor until a registered deed is executed.	Used to show that even possession under an unregistered agreement does not confer title against third parties.
State of Rajasthan v. Basant Nahata, (2005) 12 SCC 77	A Power of Attorney merely creates agency; it does not transfer title and is generally revocable.	Supports the finding that a GPA is not an instrument of transfer.
Asha M. Jain v. Canara Bank, (2001) 94 DLT 841	Had earlier described GPA sales as a “recognised mode” of transaction.	The Court expressly overrules/ repudiates this view as “unwarranted and not justified.”

Court's Reasoning and Analysis

The Court undertook a doctrinal examination of SA/GPA/Will transactions by analysing statutory provisions in the Transfer of *Property* Act, 1882, the Stamp Act, 1899 and the Registration Act, 1908.

- **Agreement of Sale (§54 TP Act):** An agreement, with or without possession, does not itself create any interest in *property* ; therefore it cannot serve as a conveyance.
- **Power of Attorney:** Under the Contract Act and the Powers of Attorney Act, a GPA merely creates an agency relationship; unless coupled with interest, it is revocable and does not transfer title. A GPA holder may execute a conveyance on behalf of the principal, but the GPA itself is not such a conveyance.
- **Will:** A will is testamentary, coming into effect only upon the testator’s death and remains revocable during the testator’s lifetime; hence it cannot operate as an inter-vivos transfer.
- Because none of the three instruments individually or collectively transfer ownership

a composite SA/GPA/Will arrangement cannot circumvent the mandatory requirement of a registered conveyance deed.

- High stamp duty encourages the use of these devices to evade duty and to channel unaccounted money. Although legislative amendments have attempted to plug revenue loss, the more pressing problem of defective titles and criminalisation of *property* transactions persists.
- The Court repudiated earlier Delhi High Court dicta suggesting GPA sales constitute a valid mode of transfer, stating such views misled the public.
- Special considerations were noted: existing SA/ GPA/ Will documents may still (i) evidence an agreement of sale, (ii) support suits for specific performance, or (iii) be relied upon for defensive possession under §53- A TP Act. Transactions already accepted by public authorities for mutation need not be disturbed.

Holding and Implications

HOLDING — SA/GPA/Will transactions do not convey title and cannot be treated as completed transfers or conveyances of immovable *property* ; ownership can be transferred only through a duly stamped and registered deed of conveyance.

Implications: Parties who relied on such composite documents must execute proper sale deeds to perfect title. Ongoing and future mutations cannot be based on SA/GPA/Will instruments alone. Existing mutations or allotments already acted upon by authorities need not be reopened. The ruling clarifies the law rather than setting a new precedent, thereby discouraging black-money-fuelled transactions and encouraging formal registration.

JUDGMENT

R.V Raveendran, J.— By an earlier order dated 15-5-2009 in Suraj Lamp & Industries (P) Ltd. (1) v. State of Haryana [\(2009\) 7 SCC 363](#), we had referred to the ill-effects of what is known as general power of attorney sales (for short “GPA sales”) or sale agreement/ general power of attorney/ will transfers (for short “SA/ GPA/ will transfers”). Both the descriptions are misnomers as there cannot be a sale by execution of a power of attorney nor can there be a transfer by execution of an agreement of sale and a power of attorney and will. As noticed in the earlier order, these kinds of transactions were evolved to avoid prohibitions/ conditions regarding certain transfers, to avoid payment of stamp duty and registration charges on deeds of conveyance, to avoid payment of capital gains on transfers, to invest unaccounted for money (black money) and to avoid payment of “unearned increases” due to development authorities, on transfer.

2. The *modus operandi* in such SA/ GPA/ will transactions is for the vendor or person claiming to be the owner to receive the agreed consideration, deliver possession of the *property* to the purchaser and execute the following documents or variations thereof:

(a) An agreement of sale by the vendor in favour of the purchaser confirming the terms of sale, delivery of possession and payment of full consideration and undertaking to execute any document as and when required in future.

An agreement of sale agreeing to sell the *property* , with a separate affidavit confirming receipt of full price and delivery of possession and undertaking to execute the sale deed whenever required.

(b) An irrevocable general power of attorney by the vendor in favour of the purchaser or his nominee authorising him to manage, deal with and dispose of the *property* without reference to the vendor.

A general power of attorney by the vendor in favour of the purchaser or his nominee authorising the attorney-holder to sell or transfer the *property* and a special power of attorney to manage the *property* .

(c) A will bequeathing the *property* to the purchaser (as a safeguard against the consequences of death of the vendor before transfer is effected).

3. These transactions are not to be confused or equated with genuine transactions where the owner of a *property* grants a power of attorney in favour of a family member or friend to manage or sell his *property* , as he is not able to manage the *property* or execute the sale, personally. These are transactions, where a purchaser pays the full price, but instead of getting a deed of conveyance gets an SA/GPA/will as a mode of transfer, either at the instance of the vendor or at his own instance.

Ill-effects of SA/GPA/will transactions

4. The earlier order dated 15-5-2009 ([2009\) 7 SCC 363](#), noted the ill-effects of such SA/GPA/ will transactions (that is, generation of black money, growth of land mafia and criminalisation of civil disputes) as under:

“19. Recourse to ‘SA/GPA/will’ transactions is taken in regard to freehold properties, even when there is no bar or prohibition regarding transfer or conveyance of such *property* , by the following categories of persons:

(a) Vendors with imperfect title who cannot or do not want to execute registered deeds of conveyance.

(b) Purchasers who want to invest undisclosed wealth/income in immovable properties without any public record of the transactions. The process enables them to hold any number of properties without disclosing them as assets held.

(c) Purchasers who want to avoid the payment of stamp duty and registration charges

either deliberately or on wrong advice. Persons who deal in real estate resort to these methods to avoid multiple stamp duties/ registration fees so as to increase their profit margin.

20. Whatever be the intention, the consequences of SA/ GPA/ will transactions are disturbing and far-reaching, adversely affecting the economy, civil society and law and order. Firstly, it enables large-scale evasion of income tax, wealth tax, stamp duty and registration fees thereby denying the benefit of such revenue to the Government and the public. Secondly, such transactions enable persons with undisclosed wealth/ income to invest their black money and also earn profit/income, thereby encouraging circulation of black money and corruption.

21. This kind of transactions have disastrous collateral effects also. For example, when the market value increases, many vendors (who effected power of attorney sales without registration) are tempted to resell the *property* taking advantage of the fact that there is no registered instrument or record in any public office thereby cheating the purchaser. When the purchaser under such ‘power-of- attorney sales’ comes to know about the vendor's action, he invariably tries to take the help of musclemen to ‘sort out’ the issue and protect his rights. On the other hand, real estate mafia many a time purchase properties which are already subject to power-of-attorney sale and then threaten the previous ‘power-of-attorney sale’ purchasers from asserting their rights. Either way, such power- of- attorney sales indirectly lead to growth of real estate mafia and criminalisation of real estate transactions.”

It also makes title verification and certification of title, which is an integral part of orderly conduct of transactions relating to immovable *property* , difficult, if not impossible, giving nightmares to bona fide purchasers wanting to own a *property* with an assurance of good and marketable title.

5. This Court had, therefore, requested the learned Solicitor General to give suggestions on behalf of the Union of India. This Court also directed notice to the States of Delhi, Haryana, Punjab and Uttar Pradesh to give their views on the matter. The four States have responded and confirmed that SA/GPA/will transfers required to be discouraged as they lead to loss of revenue (stamp duty) and increase in litigations due to defective title. They also referred to some measures taken in that behalf. The measures differ from State to State. In general, the measures are: (i) to amend the Registration Act, 1908 by Amendment Act 48 of 2001 with effect from 24-9-2001 requiring documents containing contract to transfer for consideration (agreements of sale, etc.) relating to any immovable *property* for the purpose of **Section 53-A of the Act**, shall be registered; and (ii) to amend the stamp laws subjecting agreements of sale with delivery of possession and/or irrevocable powers of attorney in favour of non-family members authorising sale, to the same stamp duty as

deed of conveyance.

6. These measures, no doubt, to some extent plugged the loss of revenue by way of stamp duty on account of parties having recourse to SA/ GPA/ will transactions, instead of executing deeds of conveyance. But the other ill- effects continued. Further, such transactions which were only prevalent in Delhi and the surrounding areas have started spreading to other States also. Those with ulterior motives either to indulge in black money transactions or land mafia continue to favour such transactions. There are also efforts to thwart the amended provisions by not referring to delivery of possession in the agreement of sale and giving a separate possession receipt or an affidavit confirming delivery of possession and thereby avoiding the registration and stamp duty. The amendments to stamp and registration laws do not address the larger issue of generation of black money and operation of land mafia. The four States and the Union of India are however unanimous that SA/ GPA/ will transactions should be curbed and expressed their willingness to take remedial steps.

7. The State of Haryana has however taken a further positive step by reducing the stamp duty on deeds of conveyance from 12.5% to 5%. A high rate of stamp duty acts as a damper for execution of deeds of conveyance for full value, and encourages SA/GPA/will transfers. When parties resort to SA/GPA/will transfers, the adverse effect is not only loss of revenue (stamp duty and registration charges) but the greater danger of generation of “black” money. Reducing the stamp duty on conveyance to realistic levels will encourage the public to disclose the maximum sale value and have the sale deeds registered. Though the reduction of the stamp duty, may result in an immediate reduction in the revenue by way of stamp duty, in the long run it will be advantageous for two reasons: (i) parties will be encouraged to execute registered deeds of conveyance/ sale deeds without any undervaluation, instead of entering into SA/GPA/will transactions; and (ii) more and more sale transactions will be done by way of duly registered sale deeds, disclosing the entire sale consideration thereby reducing the generation of black money to a large extent.

8. When high stamp duty is prevalent, there is a tendency to undervalue documents, even where sale deeds are executed. When properties are undervalued, a large part of the sale price changes hand by way of cash thereby generating “black” money. Even when the State Governments take action to prevent undervaluation, it only results in the recovery of deficit stamp duty and registration charges with reference to the market value, but the actual sale consideration remains unaltered. If a *property* worth 5 millions is sold for 2 millions, the undervaluation rules may enable the State Government to initiate proceedings so as to ensure that the deficit stamp duty and registration charges are recovered in respect of the difference of 3 millions. But the sale price remains 2 millions and the black money of 3 millions generated by the undervalued sale transaction, remains undisturbed.

9. In this background, we will examine the validity and legality of SA/ GPA/ will transactions. We have heard learned Mr Gopal Subramaniam, amicus curiae and noted the views of the Government of NCT of Delhi, Government of Haryana, Government of Punjab and Government of Uttar Pradesh who have filed their submissions in the form of

affidavits.

Relevant legal provisions

10. Section 5 of the Transfer of Property Act, 1882 (“the TP Act”, for short) defines “transfer of *property*” as under:

“5. ‘Transfer of *property*’ defined.—In the following sections ‘transfer of *property*’ means an act by which a living person conveys *property*, in present or in future, to one or more other living persons, or to himself or to himself and one or more other living persons and ‘to transfer *property*’ is to perform such act.”

11. Section 54 of the TP Act defines “sales” thus:

“54. ‘Sale’ defined.—‘Sale’ is a transfer of ownership in exchange for a price paid or promised or part-paid and part-promised.

Sale how made.—Such transfer, in the case of tangible immovable *property* of the value of one hundred rupees and upwards, or in the case of a reversion or other intangible thing, can be made only by a registered instrument.

In the case of tangible immovable *property* of a value less than one hundred rupees, such transfer may be made either by a registered instrument or by delivery of the *property*.

Delivery of tangible immovable *property* takes place when the seller places the buyer, or such person as he directs, in possession of the *property*.

Contract for sale.—A contract for the sale of immovable *property* is a contract that a sale of such *property* shall take place on terms settled between the parties.

It does not, of itself, create any interest in or charge on such *property*.”

12. Section 53-A of the TP Act defines “part-performance” thus:

“53-A. Part performance.—Where any person contracts to transfer for consideration any immovable *property* by writing signed by him or on his behalf from which the terms necessary to constitute the transfer can be ascertained with reasonable certainty:

and the transferee has, in part performance of the contract, taken possession of the *property* or any part thereof, or the transferee, being already in possession, continues in possession in part performance of the contract and has done some act in furtherance of the contract,

and the transferee has performed or is willing to perform his part of the contract,

then, notwithstanding that, where there is an instrument of transfer, that the transfer has not been completed in the manner prescribed therefor by the law for the time being in force,

the transferor or any person claiming under him shall be debarred from enforcing against the transferee and persons claiming under him any right in respect of the *property* of which the transferee has taken or continued in possession, other than a right expressly provided by the terms of the contract:

Provided that nothing in this section shall affect the rights of a transferee for consideration who has no notice of the contract or of the part performance thereof.”

13. We may next refer to the relevant provisions of the Stamp Act, 1899. **Section 27 of the Stamp Act, 1899** casts upon the party, liable to pay stamp duty, an obligation to set forth in the instrument all facts and circumstances which affect the chargeability of duty on that instrument. Section 23 prescribes stamp duty on “conveyance”. In many States appropriate amendments have been made whereby agreements of sale acknowledging delivery of possession or power of attorney authorising the attorney to “sell any immovable *property*” are charged with the same duty as leviable on conveyance.

14. **Section 17 of the Registration Act, 1908** makes a deed of conveyance compulsorily registerable. We extract below the relevant portions of Section 17:

“17. Documents of which registration is compulsory.—(1) The following documents shall be registered, namely—

(b) other non-testamentary instruments which purport or operate to create, declare, assign, limit or extinguish, whether in present or in future, any right, title or interest, whether vested or contingent, of the value of one hundred rupees and upwards, to or in immovable *property* ;

(1-A) The documents containing contracts to transfer for consideration, any immovable *property* for the purpose of Section 53-A of the Transfer of *Property* Act, 1882 (4 of 1882) shall be registered if they have been executed on or after the commencement of the Registration and Other Related Laws Amendment Act, 2001 and, if such documents are not registered on or after such commencement, then, they shall have no effect for the purposes of the said Section 53-A.”

Advantages of registration

15. In the earlier order dated 15-5-2009 [\(2009\) 7 SCC 363](#), the objects and benefits of registration were explained and we extract them for ready reference:

“15. **The Registration Act, 1908** was enacted with the intention of providing orderliness, discipline and public notice in regard to transactions relating to immovable *property* and protection from fraud and forgery of documents of transfer. This is achieved by requiring compulsory registration of certain types of documents and providing for consequences of

non-registration.

16. **Section 17 of the Registration Act** clearly provides that any document (other than testamentary instruments) which purports or operates to create, declare, assign, limit or extinguish whether in present or in future ‘any right, title or interest’ whether vested or contingent of the value of Rs 100 and upwards to or in immovable *property* .

17. **Section 49 of the said Act** provides that no document required by Section 17 to be registered shall, affect any immovable *property* comprised therein or received as evidence of any transaction affecting such *property* , unless it has been registered. Registration of a document gives notice to the world that such a document has been executed.

18. Registration provides safety and security to transactions relating to immovable *property* , even if the document is lost or destroyed. It gives publicity and public exposure to documents thereby preventing forgeries and frauds in regard to transactions and execution of documents. Registration provides information to people who may deal with a *property* , as to the nature and extent of the rights which persons may have, affecting that *property* . In other words, it enables people to find out whether any particular *property* with which they are concerned, has been subjected to any legal obligation or liability and who is or are the person(s) presently having right, title, and interest in the *property* . It gives solemnity of form and perpetuate documents which are of legal importance or relevance by recording them, where people may see the record and enquire and ascertain what the particulars are and as far as land is concerned what obligations exist with regard to them. It ensures that every person dealing with immovable *property* can rely with confidence upon the statements contained in the registers (maintained under **the said Act**) as a full and complete account of all transactions by which the title to the *property* may be affected and secure extracts/copies duly certified.”

Registration of documents makes the process of verification and certification of title easier and simpler. It reduces disputes and litigations to a large extent.

Scope of an agreement of sale

16. **Section 54 of the TP Act** makes it clear that a contract of sale, that is, an agreement of sale does not, of itself, create any interest in or charge on such *property* . This Court in *Narandas Karsondas v. S.A Kamtam* ([1977\) 3 SCC 247](#) observed:(& 37)

“32. A contract of sale does not of itself create any interest in, or charge on, the *property* . This is expressly declared in Section 54 of the Transfer of *Property* Act. (See *Ram Baran Prasad v. Ram Mohit Hazra* [AIR 1967 SC 744](#), (1967) 1 SCR 293.) The fiduciary character of the personal obligation created by a contract for sale is recognised in **Section 3 of the**

Specific Relief Act, 1963, and in **Section 91 of the Trusts Act**. The personal obligation created by a contract of sale is described in **Section 40 of the Transfer of Property Act** as an obligation arising out of contract and annexed to the ownership of *property*, but not amounting to an interest or easement therein.

33. In India, the word ‘transfer’ is defined with reference to the word ‘convey’. ... The word ‘conveys’ in **Section 5 of the Transfer of Property Act** is used in the wider sense of conveying ownership.

37. ... that only on execution of conveyance, ownership passes from one party to another....”

17. In *Rambhau Namdeo Gajre v. Narayan Bapuji Dhotra* [\(2004\) 8 SCC 614](#) this Court held:

“10. Protection provided under **Section 53-A of the Act** to the proposed transferee is a shield only against the transferor. It disentitles the transferor from disturbing the possession of the proposed transferee who is put in possession in pursuance to such an agreement. It has nothing to do with the ownership of the proposed transferor who remains full owner of the *property* till it is legally conveyed by executing a registered sale deed in favour of the transferee. Such a right to protect possession against the proposed vendor cannot be pressed into service against a third party.”

18. It is thus clear that a transfer of immovable *property* by way of sale can only be by a deed of conveyance (sale deed). In the absence of a deed of conveyance (duly stamped and registered as required by law), no right, title or interest in an immovable *property* can be transferred.

19. Any contract of sale (agreement to sell) which is not a registered deed of conveyance (deed of sale) would fall short of the requirements of Sections 54 and 55 of the TP Act and will not confer any title nor transfer any interest in an immovable *property* (except to the limited right granted under **Section 53-A of the TP Act**). According to the TP Act, an agreement of sale, whether with possession or without possession, is not a conveyance. **Section 54 of the TP Act** enacts that sale of immovable *property* can be made only by a registered instrument and an agreement of sale does not create any interest or charge on its subject-matter.

Scope of power of attorney

20. A power of attorney is not an instrument of transfer in regard to any right, title or interest in an immovable *property*. The power of attorney is creation of an agency whereby the grantor authorises the grantee to do the acts specified therein, on behalf of grantor, which when executed will be binding on the grantor as if done by him (see **Section 1-A and Section 2 of the Powers of Attorney Act, 1882**). It is revocable or

terminable at any time unless it is made irrevocable in a manner known to law. Even an irrevocable attorney does not have the effect of transferring title to the grantee.

21. In *State of Rajasthan v. Basant Nahata* ([\(2005\) 12 SCC 77](#)) this Court held: (& 101, paras 13 & 52)

“13. A grant of power of attorney is essentially governed by Chapter X of the Contract Act. By reason of a deed of power of attorney, an agent is formally appointed to act for the principal in one transaction or a series of transactions or to manage the affairs of the principal generally conferring necessary authority upon another person. A deed of power of attorney is executed by the principal in favour of the agent. The agent derives a right to use his name and all acts, deeds and things done by him and subject to the limitations contained in the said deed, the same shall be read as if done by the donor. A power of attorney is, as is well known, a document of convenience.

52. Execution of a power of attorney in terms of the provisions of the Contract Act as also the Powers of Attorney Act is valid. A power of attorney, we have noticed hereinbefore, is executed by the donor so as to enable the donee to act on his behalf. Except in cases where power of attorney is coupled with interest, it is revocable. The donee in exercise of his power under such power of attorney only acts in place of the donor subject of course to the powers granted to him by reason thereof. He cannot use the power of attorney for his own benefit. He acts in a fiduciary capacity. Any act of infidelity or breach of trust is a matter between the donor and the donee.”

An attorney-holder may however execute a deed of conveyance in exercise of the power granted under the power of attorney and convey title on behalf of the grantor.

Scope of will

22. A will is the testament of the testator. It is a posthumous disposition of the estate of the testator directing distribution of his estate upon his death. It is not a transfer inter vivos. The two essential characteristics of a will are that it is intended to come into effect only after the death of the testator and is revocable at any time during the lifetime of the testator. It is said that so long as the testator is alive, a will is not worth the paper on which it is written, as the testator can at any time revoke it. If the testator, who is not married, marries after making the will, by operation of law, the will stands revoked. (See **Sections 69 and 70 of the Succession Act, 1925**.) Registration of a will does not make it any more effective.

Conclusion

23. Therefore, an SA/ GPA/ will transaction does not convey any title nor creates any interest in an immovable *property*. The observations by the Delhi High Court in *Asha M. Jain v. Canara Bank* ([\(2001\) 94 DLT 841](#)), that the “concept of power-of-attorney sales has

been recognised as a mode of transaction” when dealing with transactions by way of SA/ GPA/ will are unwarranted and not justified, unintendedly misleading the general public into thinking that SA/ GPA/ will transactions are some kind of a recognised or accepted mode of transfer and that it can be a valid substitute for a sale deed. Such decisions to the extent they recognise or accept SA/ GPA/ will transactions as concluded transfers, as contrasted from an agreement to transfer, are not good law.

24. We therefore reiterate that immovable *property* can be legally and lawfully transferred/ conveyed only by a registered deed of conveyance. Transactions of the nature of “GPA sales” or “SA/GPA/ will transfers” do not convey title and do not amount to transfer, nor can they be recognised or valid mode of transfer of immovable *property* . The courts will not treat such transactions as completed or concluded transfers or as conveyances as they neither convey title nor create any interest in an immovable *property* . They cannot be recognised as deeds of title, except to the limited extent of **Section 53-A of the TP Act**. Such transactions cannot be relied upon or made the basis for mutations in municipal or revenue records. What is stated above will apply not only to deeds of conveyance in regard to freehold *property* but also to transfer of leasehold *property* . A lease can be validly transferred only under a registered assignment of lease. It is time that an end is put to the pernicious practice of SA/GPA/ will transactions known as GPA sales.

25. It has been submitted that making declaration that GPA sales and SA/ GPA/ will transfers are not legally valid modes of transfer is likely to create hardship to a large number of persons who have entered into such transactions and they should be given sufficient time to regularise the transactions by obtaining deeds of conveyance. It is also submitted that this decision should be made applicable prospectively to avoid hardship.

26. We have merely drawn attention to and reiterated the well-settled legal position that SA/GPA/ will transactions are not “transfers” or “sales” and that such transactions cannot be treated as completed transfers or conveyances. They can continue to be treated as existing agreements of sale. Nothing prevents the affected parties from getting registered deeds of conveyance to complete their title. The said “SA/GPA/ will transactions” may also be used to obtain specific performance or to defend possession under **Section 53-A of the TP Act** . If they are entered before this day, they may be relied upon to apply for regularisation of allotments/leases by development authorities. We make it clear that if the documents relating to “SA/GPA/ will transactions” have been accepted/acted upon by DDA or other developmental authorities or by the municipal or Revenue Authorities to effect mutation, they need not be disturbed, merely on account of this decision.

27. We make it clear that our observations are not intended to in any way affect the validity of sale agreements and powers of attorney executed in genuine transactions. For example, a person may give a power of attorney to his spouse, son, daughter, brother, sister or a relative to manage his affairs or to execute a deed of conveyance. A person may enter into a development agreement with a land developer or builder for developing the land either by forming plots or by constructing apartment buildings and in that behalf execute an agreement of sale and grant a power of attorney empowering the developer to execute

agreements of sale or conveyances in regard to individual plots of land or undivided shares in the land relating to apartments in favour of prospective purchasers. In several States, the execution of such development agreements and powers of attorney are already regulated by law and subjected to specific stamp duty. Our observations regarding “SA/GPA/will transactions” are not intended to apply to such bona fide/genuine transactions.

28. We place on record our appreciation for the assistance rendered by Mr Gopal Subramaniam, Senior Counsel, initially as Solicitor General and later as amicus curiae.

29. As the issue relating to validity of SA/GPA/will has been dealt with by this order, what remains is the consideration of the special leave petition on its merits. List the special leave petition for final disposal.